Cook and Levi 1990 Claude Guide

Cook, Karen Schweers, and Margaret Levi, eds. *The Limits of Rationality.* Chicago: University of Chicago Press, 1990.

Contents

1 Central Claims of the Volume

- The volume is an interrogation of rational choice theory conducted by people largely sympathetic to it. The question is not whether rational choice is worth doing, but **where its boundary conditions lie**, and whether the failures at that boundary are patterned enough to be theorized.

- The organizing distinction, set up in Elster's opening chapter and running through the book, is between two very different kinds of failure:

  1. **Indeterminacy** — the theory fails to pick out a unique action, so it underdetermines behavior. This is the deeper problem, because it is a defect in the theory rather than in the agent.

  2. **Irrationality** — agents fail to do what the theory prescribes. Damaging, but survivable, and empirically tractable.

- A second organizing claim is that the rational actor model is **incomplete rather than wrong**: it takes preferences as given and says nothing about where they come from, so it must be supplemented by accounts of **preference formation, norms, and institutions**. Parts II and III supply those supplements.

- There is a recurring **level-of-analysis** argument: individual choice may be demonstrably non-rational while aggregate outcomes still match the competitive predictions of the model (Plott), which means evidence of individual irrationality does not automatically defeat rational choice as a tool for institutional or market-level explanation.

- The institutional chapters converge on the view that **institutions do the work that incentives alone cannot** — solving collective action problems, generating and sustaining norms, and making cooperation self-enforcing. Rationality is thus *socially embedded* rather than a property of isolated agents.

2 Organization

Most chapters are paired with a short critical **comment** by another contributor, so the book reads as a structured debate rather than a collection. Editors' introduction is by Levi, Cook, Jodi A. O'Brien, and Howard Faye. Three parts: the theory itself, preference formation and norms, and institutions.

3 Part I: The Theory of Rational Choice

1. Jon Elster, "When Rationality Fails" (comment: Geoffrey Brennan)

- Sets the volume's agenda by separating **indeterminacy** from **irrationality**, and argues indeterminacy is the more serious charge: where the theory yields multiple or no prescriptions, it cannot be rescued by better data about agents.

- Key illustration: the **infinite regress in information gathering**. Deciding how much information to collect before choosing is itself a decision requiring information, and the regress has no rational stopping point.

- Strategic settings with **multiple equilibria** are the other standing source of indeterminacy — game theory frequently cannot say which equilibrium obtains.

- Brennan's comment presses on what exactly we should want rationality to deliver, and whether the demands Elster places on it are ones any theory could meet.

2. Amos Tversky and Daniel Kahneman, "Rational Choice and the Framing of Decisions"

- The most-cited chapter. Choices systematically violate **invariance** (logically equivalent descriptions should yield the same choice) and sometimes **dominance** — and these are not random error but predictable, reversible effects of **framing**.

- Prospect theory's apparatus: outcomes are evaluated as **gains and losses from a reference point** rather than as final states; **loss aversion**; and the **reflection effect** — risk aversion over gains, risk seeking over losses.

- Cases: the **Asian disease problem** (identical mortality outcomes framed as lives saved vs. lives lost reverse the majority preference); **mental accounting** examples such as the theater ticket and the jacket-and-calculator problems, where the same sum is treated differently depending on the account it is booked to.

- Directly threatens the descriptive adequacy of expected utility while leaving its normative status open.

3. Mark J. Machina, "Choice Under Uncertainty: Problems Solved and Unsolved" (comment: John Broome)

- A survey of the non-expected-utility research program: the documented anomalies do not require abandoning formal choice theory, only weakening the **independence axiom**.

- Cases: the **Allais paradox** (systematic independence violations) and the **Ellsberg paradox** (ambiguity aversion — preference for known over unknown probabilities).

- Machina's "generalized expected utility" preserves smooth preferences and most analytic results while accommodating the anomalies. The constructive counterweight to Tversky and Kahneman.

- Broome's comment shifts to the normative question of whether a rational agent *ought* to maximize expected utility.

4. Charles R. Plott, "Rational Choice in Experimental Markets" (comment: Cook and O'Brien)

- The strongest defense in the volume. In **experimental double-auction markets**, prices and quantities converge on competitive equilibrium predictions rapidly and reliably — even with few traders, incomplete information, and individuals who are demonstrably not maximizers.

- Implication: **institutions aggregate**. Market structure can produce rational outcomes out of imperfectly rational agents, so individual-level anomalies need not propagate upward.

- Cook and O'Brien's comment is the volume's pivot: market-level predictive success does not license claims about individual decision processes, and the two levels should not be conflated.

4 Part II: Preference Formation and the Role of Norms

5. George J. Stigler and Gary S. Becker, "De Gustibus Non Est Disputandum" (comment: Robert E. Goodin)

- The hard-line position, reprinted as the foil for the rest of the part: **tastes are stable over time and broadly similar across people**. Explain behavior with prices, income, and constraints — never by positing a change in preferences, which they treat as an admission of explanatory defeat.

- Mechanism: **household production** and accumulated **consumption capital**. Apparent taste change is really a change in the shadow price of a commodity the household produces.

- Cases: **music appreciation** ("beneficial addiction" — past listening lowers the cost of present enjoyment), **advertising**, **fashion**, and **custom and tradition**, each re-described without invoking shifting tastes.

- Goodin's "De Gustibus Non Est Explanandum" is the direct rebuttal: the strategy makes preferences unexplainable by fiat rather than explaining them.

6. Michael Taylor, "Cooperation and Rationality" (comment: Michael Hechter)

- Revisits the collective action problem: the pessimism of the one-shot Prisoner's Dilemma dissolves under **repeated play** among a stable population, where **conditional cooperation** sustained by the shadow of the future can be an equilibrium.
- Conditions favoring cooperation: **small groups**, ongoing interaction, low discount rates, and **community** — shared beliefs and dense direct relations. Anticipates Ostrom's design principles.
- Hechter's comment is the skeptical counterweight: supergame results are too permissive (folk-theorem multiplicity) to explain real-world collective action, and the indeterminacy Elster identified resurfaces here.

7. James S. Coleman, "Norm-Generating Structures" (comment: Stephen J. Majeski)

- Treats norms as things to be *explained*, not assumed. A **demand for a norm** arises when actions impose **externalities** that cannot be resolved by direct bargaining.
- Demand is not sufficient: realizing a norm requires **social structure that makes sanctioning feasible**, since sanctioning is itself a second-order collective action problem. Coleman's answer is **closure** — dense, interconnected relations letting beneficiaries coordinate and share sanctioning costs.
- Keeps rational choice microfoundations while generating genuinely social outcomes; connects directly to his social capital work.
- Majeski proposes an alternative route to norm generation and maintenance.

5 Part III: Institutions

8. Arthur S. Stinchcombe, "Reason and Rationality" (comment: Andrew Abbott)

- Distinguishes **rationality** (maximizing given ends) from **reason** — deliberation, argument, and the giving and assessing of reasons. Much institutional life runs on the latter.
- Institutions such as courts, scientific disciplines, and bureaucracies are organized to produce and evaluate reasons, and a maximizing model of the individual misses what they do.
- Abbott's comment engages the distinction from a sociological standpoint.

9. Gary J. Miller, "Managerial Dilemmas" (comment: Robert H. Bates and William T. Bianco)

- Hierarchies cannot fully solve the **team production** problem with incentives alone: when output is joint and individual contribution is unobservable, no budget-balancing incentive scheme achieves efficiency (the Holmström result).
- Because the problem is formally unsolvable by contract, **leadership, credible commitment, and organizational culture** do real work — an argument that political and normative factors are *required*, not residual.
- Bates and Bianco extend the leadership argument within a rational choice frame.

10. Russell Hardin, "The Social Evolution of Cooperation" (comment: Carol A. Heimer)

- Many cooperation problems are better modeled as **coordination** than as Prisoner's Dilemmas. Once a convention is established it is largely **self-enforcing**, since no one gains by unilateral deviation.
- Cooperative norms and conventions therefore **evolve** through ongoing interaction rather than requiring design or external enforcement.
- Heimer's comment presses on the limits of the evolutionary account.

11. Douglass C. North, "Institutions and Their Consequences for Economic Performance"

- Institutions are the **rules of the game** — formal rules, informal constraints, and enforcement characteristics — and they exist because **transaction costs** are positive.
- The central puzzle is the persistence of **inefficient institutions**: because returns are shaped by existing rules and by the organizations those rules create, **path dependence** can lock in arrangements that do not maximize aggregate wealth.
- Compact statement of the argument of *Institutions, Institutional Change and Economic Performance*, also 1990 — read alongside your North notes.

12. Margaret Levi, "A Logic of Institutional Change"

- The editors' closing statement. Institutional change is driven by rulers acting as **revenue maximizers** subject to constraints: relative bargaining power, transaction costs, and discount rates.
- **Quasi-voluntary compliance** is the key concept: compliance is voluntary in that it is not usually coerced, but quasi- in that non-compliance is punishable. Rulers prefer it because

enforcement is expensive, which gives them reason to make credible commitments and supply something in return.

- Compliance is **contingent** — it depends on rulers keeping their bargains and on citizens believing others are also complying, so normative and strategic considerations are entangled rather than opposed.
- Cases drawn from her work on **taxation and revenue extraction** (see *Of Rule and Revenue*, 1988), and later extended to **conscription**.

6 Connections to Your Other Readings

- **Olson 1965**: the target of Part II. Taylor's repeated-game argument and Coleman's norm-generating structures are both direct responses to Olsonian pessimism about collective action.
- **Ostrom 1990** (same year): Taylor's conditions for cooperation — small stable groups, repeated interaction, community — are close to Ostrom's design principles, arrived at from theory rather than fieldwork. The strongest single pairing on this list.
- **North 1990**: chapter 11 *is* North's argument in miniature; useful for citing him on transaction costs and path dependence without leaving this volume.
- **Putnam 1993**: Coleman on closure is the direct theoretical ancestor of Putnam's social capital.
- **Scott 1985**: peasant behavior that is unintelligible under a narrow maximizing model becomes intelligible once norms and dignity enter, which is Part II's point made ethnographically.
- **Svolik 2012**: authoritarian power-sharing turns on credible commitment under repeated interaction — Miller's and Hardin's logic applied to dictatorship.
- **Weber**: the *Zweckrational*/*Wertrational* distinction is the ancestor of the whole debate, and Stinchcombe's reason/rationality split is its clearest modern descendant.
- **Huber and Shipan 2002**: Miller's managerial dilemmas are the delegation and discretion problem in the firm rather than the legislature.

7 Likely Exam Uses

- The **indeterminacy/irrationality distinction** (Elster) is the single most portable idea here — it lets you criticize a rational choice argument precisely rather than gesturally.
- **Plott vs. Cook and O'Brien** is the cleanest citation for level-of-analysis problems: aggregate predictive success versus individual process claims.

- **Levi on quasi-voluntary compliance** is directly usable in any question about state capacity, taxation, or legitimacy, and connects the coercion and consent literatures.
- As a **bridge**: the volume lets you move from rational choice to institutional or normative explanation without the shift looking like a change of subject.